



# Model Exit Exam 2025

## Question 7

Correct

Mark 1.00 out of 1.00

Flag question

When a partner withdraws from the partnership by taking assets, the effects of entry result in:

- ☐ a. Decrease to the asset and no change in owner's equity of the firm
- ☐ b. Increase the assets of the partnership
- ☒ c. Decrease to the asset and owner's equity of the firm ✓
- ☐ d. Increase to the asset and owner's equity of the firm

The correct answer is: Decrease to the asset and owner's equity of the firm

## Question 8

Correct

Mark 1.00 out of 1.00

Flag question

Accounting professionals who work for a private employer on a salary basis are called?

- ☐ a. Certified Public Accountants
- ☐ b. Public accountants
- ☒ c. Private accountants ✓
- ☐ d. Private enterprises

The correct answer is: Private accountants



# Model Exit Exam 2025

## Question 9

Incorrect

Mark 0.00 out of 1.00

[Flag question](#)

What represents the increase in taxes payable in future years as a result of taxable temporary differences existing at the end of the current year?

- ☒ a. Deductible temporary differences ✖
- ☐ b. Permanent tax differences
- ☐ c. Deferred tax Asset
- ☐ d. Deferred tax liability

The correct answer is: Deferred tax liability

## Question 10

Incorrect

Mark 0.00 out of 1.00

[Flag question](#)

Which one of the following factors indicates the customer's integrity and willingness to maintain long-term relationship?

- ☐ a. Character
- ☐ b. Condition
- ☒ c. Capacity ✖
- ☐ d. Capital

The correct answer is: Character



# Model Exit Exam 2025

## Question 11

Correct

Mark 1.00 out of 1.00

Flag question

The fifth and last step in a five step revenue recognition process under IFRS 15 is?

- ☒ a. Recognize revenue when each performance obligation is satisfied ✓
- ☐ b. Allocate the transaction price to separate performance obligations
- ☐ c. Identify contracts with customers
- ☐ d. Identify separate performance obligations

The correct answer is: Recognize revenue when each performance obligation is satisfied

## Question 12

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following statements is wrong?

- ☐ a. Accounting basically consists of the activities of identifying, recording, and communicating the economic events of an organization to interested users
- ☐ b. A vital element in communicating economic events is the accountant's ability to analyze and interpret the reported information
- ☐ c. The relationship of assets, liabilities, and equity expressed in the form of basic accounting equation in which assets must equal the sum of liabilities and equity
- ☒ d. Retained earnings is not determined by three items: revenues (an increase in equity), expenses (a decrease in equity), and dividends (reduce retained earnings) ✓

The correct answer is: Retained earnings is not determined by three items: revenues (an increase in equity), expenses (a decrease in equity), and dividends (reduce retained earnings)



# Model Exit Exam 2025

## Question 13

Correct

Mark 1.00 out of 1.00

🚩 Flag question

MM approach is based on the following important assumptions except:

- ☐ a. Perfect capital market
- ☒ b. There is risk or certainty ✓
- ☐ c. There are no taxes
- ☐ d. Investors are rational

The correct answer is: There is risk or certainty

## Question 14

Correct

Mark 1.00 out of 1.00

🚩 Flag question

Working capital management is mainly concerned with:

- ☐ a. Management of the firm's capital assets
- ☐ b. The placement of the firm's debt and equity issues
- ☐ c. Management of firm's total liabilities
- ☒ d. Financing and management of the firm's current assets ✓

The correct answer is: Financing and management of the firm's current assets



# Model Exit Exam 2025

## Question 15

Incorrect

Mark 0.00 out of 1.00

Flag question

Revenue is recognized in the accounting period in which the performance obligation is satisfied. This statement describes the

- ☐ a. Expense recognition principle
- ☒ b. Revenue recognition principle ✖
- ☐ c. Measurement principle
- ☐ d. Full disclosure principle

The correct answer is: Expense recognition principle

## Question 16

Correct

Mark 1.00 out of 1.00

Flag question

Identify the factor that contributes for shorter days sales outstanding

- ☐ a. Limited cash discount offers
- ☐ b. Longer credit periods
- ☒ c. Strong cash collection policy ✔
- ☐ d. Poor credit selection

The correct answer is: Strong cash collection policy



# Model Exit Exam 2025

## Question 17

Correct

Mark 1.00 out of 1.00

Flag question

In the case of bonds issued at discount

- ☐ a. Company receives more at issue relative to maturity amount
- ☐ b. Amount paid at maturity is less than amount at issue
- ☐ c. Paid and received amounts are equal
- ☒ d. Amount paid at maturity is more than the issue amount ✓

The correct answer is: Amount paid at maturity is more than the issue amount

## Question 18

Incorrect

Mark 0.00 out of 1.00

Flag question

In case of property held under an operating lease and classified as investment property

- ☐ a. The entity needs only to disclose the fair value and can use the cost model
- ☐ b. The entity has to account for the investment property under the cost model only
- ☐ c. The entity has to use the fair value model only
- ☒ d. The entity has the choice between the cost model and the fair value model ✗

The correct answer is: The entity has to use the fair value model only



## Model Exit Exam 2025

### Question 19

Correct

Mark 1.00 out of 1.00

Flag question

After completion of the parent company's equity-method journal entries for its profitable wholly owned subsidiary's operating results, the balance of the parent's Intercompany Investment Income ledger is equal to the:

- ☐ a. Subsidiary's net income, less amortization of current fair value differences of the subsidiary's identifiable net assets.
- ☐ b. Increase in the after-closing balance of the subsidiary's Retained Earnings ledger account
- ☒ c. Subsidiary's net income, less amortization of current fair value differences of the subsidiary's net assets, including goodwill. ✓
- ☐ d. Subsidiary's net income.

The correct answer is: Subsidiary's net income, less amortization of current fair value differences of the subsidiary's net assets, including goodwill.

### Question 20

Correct

Mark 1.00 out of 1.00

Flag question

The accounts payable department generally should

- ☒ a. Agree the vendor's invoice with the receiving report and purchase order ✓
- ☐ b. Assure that the quantity ordered is omitted from the receiving department's copy of the purchase order
- ☐ c. Approve the price and quantity of each purchase requisition
- ☐ d. Cancel supporting documentation after a cash payment is mailed

The correct answer is: Agree the vendor's invoice with the receiving report and purchase order



## Question 21

Incorrect

Mark 0.00 out of 1.00

Flag question

A fund that account for the receipt, temporary investments, and remittance of resources to individuals, private organizations, or other governments is called?

- ☒ a. Investment trust funds ✖
- ☐ b. Agency funds
- ☐ c. Enterprise funds
- ☐ d. Internal service funds

The correct answer is: Agency funds

## Question 22

Correct

Mark 1.00 out of 1.00

Flag question

Types of motive that serves the objective of holding cash for investing in profit-making ventures:

- ☐ a. Precautionary motive
- ☐ b. Transaction motive
- ☐ c. Safety motive
- ☒ d. Speculative motive ✔

The correct answer is: Speculative motive

**Question 23**

Correct

Mark 1.00 out of 1.00

 Flag question

Which of the following audit type is ordinarily covers the balance sheet and the related statements of income, retained earnings, and cash flows.

- ☐ a. Governmental audit
- ☐ b. Compliance audits
- ☒ c. The audit of financial statements ✓
- ☐ d. Operational audit

The correct answer is: The audit of financial statements

**Question 24**

Incorrect

Mark 0.00 out of 1.00

 Flag question

Due professional care requires

- ☐ a. The examination of all corroborating evidence available
- ☐ b. A critical review of the work done at every level of supervision
- ☒ c. Consideration of internal control structure that includes tests of controls ✗
- ☐ d. The exercise of error-free judgment

The correct answer is: A critical review of the work done at every level of supervision



# Model Exit Exam 2025

## Question 25

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following organizations is responsible for setting International Financial Reporting Standards?

- ☐ a. Financial Accounting Standards Board
- ☐ b. Financial Accounting Committee
- ☒ c. International Accounting Standards Board ✓
- ☐ d. International Accounting Standards Committee

The correct answer is: International Accounting Standards Board

## Question 26

Correct

Mark 1.00 out of 1.00

Flag question

One of the following statements is correct except;

- ☐ a. The journal helps to prevent or locate errors because the debit and credit amounts for each entry can be easily compared
- ☒ b. When companies receive cash before services are performed, they record a liability called service revenue ✓
- ☐ c. The debits (left side) must equal credits (right side) of an account for each business transaction to provide the basis for the double-entry system of recording transactions
- ☐ d. Adjusting entries made at the end of an accounting period to ensure that companies follow the revenue and expense recognition principles

The correct answer is: When companies receive cash before services are performed, they record a liability called service revenue



# Model Exit Exam 2025

## Question 27

Correct

Mark 1.00 out of 1.00

Flag question

The allocation of the cost of intangible assets to expense in a rational and systematic manner over the resource's useful life is called:

- ☐ a. Accumulated depletion
- ☐ b. Depletion
- ☒ c. Amortization ✓
- ☐ d. Depreciation

The correct answer is: Amortization

## Question 28

Incorrect

Mark 0.00 out of 1.00

Flag question

Ratios are primarily used for investment decisions and long-range planning:

- ☐ a. Asset management ratio
- ☐ b. Solvency ratio
- ☒ c. Market/book ratio ✗
- ☐ d. Liquidity ratio

The correct answer is: Liquidity ratio



# Model Exit Exam 2025

## Question 29

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following statement is correct but;

- ☐ a. When goods are purchased for resale by a company using a periodic inventory system purchases on account are debited to purchases
- ☐ b. A periodic inventory system determine the cost of goods sold by adding cost of goods on hand at the beginning of the accounting period to the cost of goods purchased and subtracting the cost of goods on hand at the end of the accounting period
- ☒ c. Under a periodic inventory system, when goods are purchased for resale by a company purchases of merchandise on account are debited to merchandise inventory. ✓
- ☐ d. Perpetual inventory system maintains detailed records of the cost of each inventory purchase and sale

The correct answer is: Under a periodic inventory system, when goods are purchased for resale by a company purchases of merchandise on account are debited to merchandise inventory.

## Question 30

Correct

Mark 1.00 out of 1.00

Flag question

The most common type of cash dividend is

- ☐ a. Extra cash dividend
- ☐ b. Special dividend
- ☒ c. Regular cash dividend ✓
- ☐ d. Liquidating dividend

The correct answer is: Regular cash dividend



# Model Exit Exam 2025

## Question 31

Correct

Mark 1.00 out of 1.00

Flag question

The lead time is defined as:

- ☐ a. The length of time that it takes to order inventory
- ☒ b. The length of time between ordering and receiving an inventory order ✓
- ☐ c. The length of time before a stock out occurs
- ☐ d. The time before production can be resumed

The correct answer is: The length of time between ordering and receiving an inventory order

## Question 32

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following areas does not IFRS 3 apply to?

- ☐ a. The acquisition of an asset or a group of assets constitute a business
- ☐ b. A combination of entities or businesses not under common control
- ☒ c. The accounting for the formation of a joint arrangement in the financial statements of the joint arrangement itself ✓
- ☐ d. There is no standard which is called IFRS

The correct answer is: The accounting for the formation of a joint arrangement in the financial statements of the joint arrangement itself



## Question 33

Incorrect

Mark 0.00 out of 1.00

Flag question

A CPA firm is reasonably assured of meeting its responsibility to provide services that conform to professional standards by

- ☐ a. Having an appropriate system of quality control
- ☐ b. Joining professional societies that enforce ethical conduct
- ☐ c. Maintaining an attitude of independence in its engagements
- ☒ d. Adhering to generally accepted auditing standards ❌

The correct answer is: Maintaining an attitude of independence in its engagements

## Question 34

Correct

Mark 1.00 out of 1.00

Flag question

What is the purpose of a Debt Service Fund?

- ☐ a. to provide a means of reporting all outstanding long-term debt of the government in a single location
- ☐ b. to account for resources that are restricted or otherwise limited to pay the debt service on all long-term debt of the government, and also to show how much long-term debt is outstanding
- ☐ c. to account for resources that are restricted or otherwise limited to pay the debt service on all debt of the government, including Enterprise fund debt and short-term debt used to finance General Fund operations
- ☒ d. to account for resources that are restricted or otherwise limited to pay principal and interest on general long-term debt ✓

The correct answer is: to account for resources that are restricted or otherwise limited to pay principal and interest on general long-term debt



# Model Exit Exam 2025

## Question 35

Incorrect

Mark 0.00 out of 1.00

Flag question

The difference between flexible budget and static budget is known as

- ☐ a. Quantity variance
- ☒ b. Flexible budget variance ✖
- ☐ c. Static budget variance
- ☐ d. Sales volume variance

The correct answer is: Sales volume variance

## Question 36

Incorrect

Mark 0.00 out of 1.00

Flag question

Which one of the following is the not the components of credit policy?

- ☐ a. Terms of sale
- ☐ b. Collection policy
- ☐ c. Credit analysis
- ☒ d. Ratio analysis ✖

The correct answer is: Credit analysis



# Model Exit Exam 2025

## Question 37

Correct

Mark 1.00 out of 1.00

Flag question

The Depreciation method provide for a higher depreciation cost in the earlier years and lower charges in later periods

- ☐ a. Units of Activity method
- ☒ b. Accelerated depreciation methods ✓
- ☐ c. Constant method
- ☐ d. Straight line Methods

The correct answer is: Accelerated depreciation methods

## Question 38

Incorrect

Mark 0.00 out of 1.00

Flag question

An organization uses internal control to enhance the accuracy and reliability of its accounting records and to:

- ☐ a. deter employee dishonesty
- ☐ b. safeguard its assets
- ☐ c. prevent fraud
- ☒ d. produce correct financial statements ✗

The correct answer is: safeguard its assets



## Model Exit Exam 2025

### Question 39

Correct

Mark 1.00 out of 1.00

Flag question

The net present value (NPV) rule can be best stated as:

- ☐ a. An investment should be rejected if the NPV is positive and accepted if it is negative
- ☒ b. An investment should be accepted if the NPV is positive and rejected if it is negative ✓
- ☐ c. An investment with greater cash inflows than cash outflows, regardless of when the cash flows occur, will always have a positive NPV and therefore should always be accepted
- ☐ d. An investment should be accepted if, and only if, the NPV is exactly equal to zero

The correct answer is: An investment should be accepted if the NPV is positive and rejected if it is negative

### Question 40

Correct

Mark 1.00 out of 1.00

Flag question

One of the following is not true about Inventory costing method

- ☒ a. In periods of Deflation or declining prices, FIFO will produce higher Inventory ✓
- ☐ b. In periods of Inflation or Higher prices, FIFO will produce higher net income
- ☐ c. Where FIFO is used the inventory and cost of goods sold would be the same at whether a perpetual or periodic system is used
- ☐ d. Under specific identification method the cost flow matches the physical flow of the goods

The correct answer is: In periods of Deflation or declining prices, FIFO will produce higher Inventory



# Model Exit Exam 2025

## Question 41

Incorrect

Mark 0.00 out of 1.00

Flag question

Governmental units use which fund type to account for services provided to the general public on a user-charge basis?

- ☐ a. General Fund
- ☒ b. Internal service fund ✗
- ☐ c. Enterprise fund
- ☐ d. Permanent fund

The correct answer is: Enterprise fund

## Question 42

Incorrect

Mark 0.00 out of 1.00

Flag question

A capital projects fund would probably not be used for which of the following assets?

- ☐ a. Replacing a bridge
- ☐ b. Construction and installation of new shelving in the mayor's office.
- ☒ c. Purchase and installation of an entity-wide integrated computer system ✗
- ☐ d. Financing and construction of three new fire substations.

The correct answer is: Construction and installation of new shelving in the mayor's office.



## Question 43

Incorrect

Mark 0.00 out of 1.00

Flag question

Which of the following is true according to IFRS 10 Consolidated Financial Statements issued by IASB?

- ☒ a. An investor has power over an investee when the investor has existing rights that give it the current ability to direct the relevant activities, i.e. the activities that significantly affect the investee's returns. ✖
- ☐ b. A parent shall prepare consolidated financial statements using different accounting policies for like transactions and other events in similar circumstances
- ☐ c. An investor controls an investee when it is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee
- ☐ d. An investor is exposed, or has rights, to variable returns from its involvement with the investee when the investor's returns from its involvement have the potential to vary as a result of the investee's performance.

The correct answer is: A parent shall prepare consolidated financial statements using different accounting policies for like transactions and other events in similar circumstances

## Question 44

Correct

Mark 1.00 out of 1.00

Flag question

Management accounting focuses primarily on providing data for:

- ☒ a. Internal uses by managers ✓
- ☐ b. External uses by the Ministry of Revenue
- ☐ c. External uses by the Accounting and Auditing Board of Ethiopia
- ☐ d. External uses by stockholders and creditors

The correct answer is: Internal uses by managers



# Model Exit Exam 2025

## Question 45

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following is/are wrong statement?

- ☐ a. If an individual's income is above the exemption limit, he/she can be forced to pay tax on his/her income
- ☐ b. When the government collects a tax, its proceeds are spent to extend common benefit to all the people
- ☐ c. Citizens may pay direct as well as indirect taxes
- ☒ d. In modern times, there is a direct relationship between the payment of tax and immediate benefits ✓

The correct answer is: In modern times, there is a direct relationship between the payment of tax and immediate benefits

## Question 46

Incorrect

Mark 0.00 out of 1.00

Flag question

Which of the following risk is measure of the sensitivity or susceptibility of the financial statement accounts to material misstatement before considering the effectiveness of internal control, accounting controls, policies or procedures?

- ☐ a. Hybrid risk
- ☒ b. Control risk ✗
- ☐ c. Inherent risk
- ☐ d. Detection risk

The correct answer is: Inherent risk



## Question 47

Incorrect

Mark 0.00 out of 1.00

Flag question

In determining net cash flow from operating activities under indirect method, which of the following adjustments to net income is correct

- ☒ a. Add increase in prepaid expenses ✖
- ☐ b. Deduct increases in accounts payable
- ☐ c. Add decreases in accrued liabilities
- ☐ d. Deduct increases in receivables

The correct answer is: Deduct increases in receivables

## Question 48

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following statement is true?

- ☐ a. Public expenditure is the means for public revenue
- ☐ b. the problems of adjustments of income and expenditure of business concern is within the scope of public finance
- ☐ c. Public revenue signifies the activities of the government during particular fiscal year
- ☒ d. public debt can be an instrument for securing economic stability ✔

The correct answer is: public debt can be an instrument for securing economic stability



## Question 49

Incorrect

Mark 0.00 out of 1.00

Flag question

Which of the following statements is not correct?

- ☐ a. IAS 21 applies to the presentation of an entity's financial statements in a foreign currency and sets out requirements for the resulting financial statements to be described as complying with IFRSs
- ☐ b. IAS 21 applies to hedge accounting for foreign currency items, including the hedging of a net investment in a foreign operation
- ☒ c. IAS 21 applies when an entity translates amounts relating to derivatives from its functional currency to its presentation currency ✗

The correct answer is: IAS 21 applies to hedge accounting for foreign currency items, including the hedging of a net investment in a foreign operation

## Question 50

Incorrect

Mark 0.00 out of 1.00

Flag question

Which of the following audit procedures would be most appropriate to address the existence assertion for sales?

- ☒ a. Perform analytical procedures ✗
- ☐ b. Confirm receivables balances
- ☐ c. Review collectability
- ☐ d. Confirm cash deposits in banks

The correct answer is: Confirm receivables balances



# Model Exit Exam 2025

## Question 51

Correct

Mark 1.00 out of 1.00

Flag question

Which one of following is not Walter's model assumption?

- ☒ a. The firm can use debt or new equity finance if it is necessary ✓
- ☐ b. The firm has an infinite life
- ☐ c. The firm uses only retained earnings
- ☐ d. The firm has constant EPS and DPS

The correct answer is: The firm can use debt or new equity finance if it is necessary

## Question 52

Incorrect

Mark 0.00 out of 1.00

Flag question

Equity investment on date of acquisition is recorded at

- ☒ a. Purchase price plus brokers commission ✗
- ☐ b. Amortized cost
- ☐ c. Purchase price of securities
- ☐ d. Selling price of securities

The correct answer is: Purchase price of securities



## Question 53

Incorrect

Mark 0.00 out of 1.00

🚩 Flag question

The cost of acquisition in a business combination is measured as the fair value of the:

- ☐ a. Consideration received
- ☐ b. Consideration given
- ☐ c. Costs directly attributable to the combination
- ☒ d. Consideration given plus directly attributable costs ✖

The correct answer is: Consideration given

## Question 54

Correct

Mark 1.00 out of 1.00

🚩 Flag question

The acquirer shall measure the identifiable assets acquired and the liabilities assumed at their:

- ☒ a. Acquisition-date fair values ✔
- ☐ b. Reporting-date net book value
- ☐ c. Reporting-date present value
- ☐ d. Acquisition-date historical cost

The correct answer is: Acquisition-date fair values



# Model Exit Exam 2025

## Question 55

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following statements is false?

- ☒ a. Par value and market price of a company's shares are always the same ✓
- ☐ b. The authorization of share capital does not result in a formal accounting entry
- ☐ c. The equity section begins with a share capital section
- ☐ d. Ownership of ordinary shares gives the owner a voting right

The correct answer is: Par value and market price of a company's shares are always the same

## Question 56

Incorrect

Mark 0.00 out of 1.00

Flag question

In most long term construction contracts revenues and gross profits recognized each period based up on the percentage of completion method in which of the following statement is correct if cost to cost basis is adopted.

- ☐ a. Revenues and gross profits recognized when the contract is completed
- ☐ b. Revenue or gross profit to be recognized to date is percent complete multiplied by most recent estimate of total costs
- ☒ c. Percent complete is costs incurred to date divided by estimated total revenue ✗
- ☐ d. Current period revenues and gross profits determined by deducting revenues or gross profit recognized in prior periods from revenues or gross profits recognized to date

The correct answer is: Current period revenues and gross profits determined by deducting revenues or gross profit recognized in prior periods from revenues or gross profits recognized to date



## Model Exit Exam 2025

### Question 57

Correct

Mark 1.00 out of 1.00

Flag question

The formal process of choosing between alternatives is known as

- ☐ a. A prediction model
- ☐ b. An alternative model
- ☒ c. A decision model ✓
- ☐ d. A relevant model

The correct answer is: A decision model

### Question 58

Correct

Mark 1.00 out of 1.00

Flag question

One of the primary components of internal control system that capture and communicate all pertinent information both down and up the organization, as well as communicate information to appropriate external parties is;

- ☒ a. information and communication ✓
- ☐ b. monitoring
- ☐ c. risk assessment
- ☐ d. control activities

The correct answer is: information and communication



# Model Exit Exam 2025

|           |                               |
|-----------|-------------------------------|
| Status    | Finished                      |
| Started   | Monday, 26 May 2025, 9:53 AM  |
| Completed | Monday, 26 May 2025, 11:19 AM |
| Duration  | 1 hour 26 mins                |
| Grade     | 62.00 out of 99.00 (62.63%)   |

## Question 1

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following is not an intangible asset?

- ☐ a. Franchise
- ☒ b. Research and development costs ✓
- ☐ c. Trade name
- ☐ d. Copyrights

The correct answer is: Research and development costs

## Question 2

Incorrect

Mark 0.00 out of 1.00

Flag question

No par shares have stated value for this case what is stated value mean

- ☐ a. The stated value is a minimum value below which a company cannot issue its share
- ☐ b. The stated value is Maximum value of the share
- ☒ c. The stated value is market value of the share ✗
- ☐ d. The stated value is fair value of the share

The correct answer is: The stated value is a minimum value below which a company cannot issue its share



# Model Exit Exam 2025

## Question 3

Correct

Mark 1.00 out of 1.00

[Flag question](#)

International Financial Reporting Standards (IFRS) is considered to be more:

- ☐ a. The same to GAAP
- ☒ b. Principle-based ✓
- ☐ c. Rule-based

The correct answer is: Principle-based

## Question 4

Incorrect

Mark 0.00 out of 1.00

[Flag question](#)

Which of the following financial statement assertions is not addressed by the confirmation of accounts receivable?

- ☒ a. Valuation ✗
- ☐ b. Presentation and disclosure
- ☐ c. Existence
- ☐ d. Rights

The correct answer is: Presentation and disclosure



# Model Exit Exam 2025

## Question 5

Correct

Mark 1.00 out of 1.00

[Flag question](#)

Which one of the following is wrong according to Walter's model argument?

- ☒ a. If  $r > k$ , the firm is able to earn lower than what the shareholders could by reinvesting, if the earnings are paid to them ✓
- ☐ b. If  $r > k$ , Increase dividend payout decrease value of the firm vice versa
- ☐ c. If  $r < k$ , the shareholders can earn a higher return by investing elsewhere
- ☐ d. If the firm has  $r = k$ , it is a matter of indifference whether earnings are retained or distributed

The correct answer is: If  $r > k$ , the firm is able to earn lower than what the shareholders could by reinvesting, if the earnings are paid to them

## Question 6

Incorrect

Mark 0.00 out of 1.00

[Flag question](#)

Which of the following best describes what is meant by generally accepted auditing standards?

- ☐ a. Acts to be performed by the auditor
- ☐ b. Audit objectives generally determined on audit engagements
- ☒ c. Procedures to be used to gather evidence to support financial statements ✗
- ☐ d. Measures of the quality of the auditor's performance

The correct answer is: Measures of the quality of the auditor's performance



# Model Exit Exam 2025

## Question 95

Incorrect

Mark 0.00 out of 1.00

Flag question

An entity grows grapevines harvest the grapes and produce wine in which of the following does IAS 41 apply?

- ☒ a. the grapevines ✖
- ☐ b. the harvested grapes
- ☐ c. the production of wine
- ☐ d. the grapes growing on the grapevines

The correct answer is: the grapes growing on the grapevines

## Question 96

Correct

Mark 1.00 out of 1.00

Flag question

In which type of Auditors? principal goal is to investigate and evaluate the effectiveness with which the various organizational units of the company are carrying out their assigned functions.

- ☐ a. External Auditors
- ☒ b. Internal Auditors ✔
- ☐ c. Government Auditors

The correct answer is: Internal Auditors



## Question 97

Correct

Mark 1.00 out of 1.00

Flag question

Except one all are true about the Ethiopian Payroll System

- ☐ a. Overtime may be worked where there is accident, actual or eminent, Force-majeure
- ☐ b. Normal hours of work shall not exceed 8 hours a day or 48 hours a week
- ☒ c. The payment of salary recorded in a Journal debited salary expense by the net pay amount ✓
- ☐ d. The pension contribution for militaries, the employer (government) contributes 18% and the employee contributes 6% of basic salary

The correct answer is: The payment of salary recorded in a Journal debited salary expense by the net pay amount

## Question 98

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following is an element of sampling risk?

- ☐ a. Choosing an audit procedure that is inconsistent with the audit objective
- ☐ b. Failing to detect an error on a document that has been inspected by the auditor
- ☐ c. Failing to perform audit procedures that are required by the sampling plan
- ☒ d. Choosing a sample size that is too small to achieve the sampling objective. ✓

The correct answer is: Choosing a sample size that is too small to achieve the sampling objective.

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# Model Exit Exam 2025

## Question 99

Correct

Mark 1.00 out of 1.00

Flag question

Which characteristic is not possessed by intangible assets?

- ☐ a. Short-lived
- ☐ b. Result in future benefits
- ☐ c. Expensed over current and/or future years
- ☒ d. Physical existence ✓

The correct answer is: Physical existence



# Model Exit Exam 2025

## Question 89

Correct

Mark 1.00 out of 1.00

Flag question

### Statements on Auditing Standards

- ☐ a. Describe procedures to be applied in specific areas of audit activity to eliminate inconsistencies in audit practice
- ☐ b. Are intended to limit the degree of auditor judgment needed to fulfill the attest function
- ☒ c. Interpret standards that provide guidelines or measures of quality for an independent audit ✓
- ☐ d. Relate to the filing requirements and enforcement activities of the SEC

The correct answer is: Interpret standards that provide guidelines or measures of quality for an independent audit

## Question 90

Correct

Mark 1.00 out of 1.00

Flag question

### What is Sources of Financial Reporting Standards for G&NP organizations?

- ☐ a. International Financial Reporting Standards (IFRS)
- ☐ b. Generally accepted accounting principles (GAAP)
- ☒ c. International Public Sector Accounting Standards (IPSAS) ✓
- ☐ d. Generally accepted auditing Standards(GAAS)

The correct answer is: International Public Sector Accounting Standards (IPSAS)



# Model Exit Exam 2025

## Question 91

Incorrect

Mark 0.00 out of 1.00

Flag question

Which of the following intangible assets should not be amortized?

- ☐ a. Perpetual franchises
- ☐ b. Copyrights
- ☐ c. All of these intangible assets should be amortized
- ☒ d. Customer lists

The correct answer is: Perpetual franchises

## Question 92

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following statement is right except?

- ☐ a. Using special journal for classes of transactions saves time in journalizing and posting
- ☐ b. Computer technology reduces the time and effort devoted to record keeping tasks that accountants can concentrate on analysis and managerial type decisions
- ☐ c. The special journal can be useful to management in analyzing classes of transactions, such as sales, because similar transactions are in one place
- ☒ d. In computer technology several persons cannot work simultaneously on the accounting records

The correct answer is: In computer technology several persons cannot work simultaneously on the accounting records



# Model Exit Exam 2025

## Question 93

Correct

Mark 1.00 out of 1.00

Flag question

L Company produces hand tools. For March, budgeted sales are 12,000 units, beginning finished goods inventory will be 1,200 units, and ending finished goods inventory will be 1,400 units. March production will be?

- ☐ a. 14,600
- ☐ b. 10,900
- ☐ c. 11,800
- ☒ d. 12,200 ✓

The correct answer is: 12,200

## Question 94

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following would not affect the break-even point?

- ☐ a. Selling price per unit
- ☐ b. Total fixed expenses
- ☐ c. Variable expense per unit
- ☒ d. Number of units sold ✓

The correct answer is: Number of units sold



## Model Exit Exam 2025

### Question 83

Correct

Mark 1.00 out of 1.00

[Flag question](#)

The method of raising funds for capital investment that involves the greatest risk to the firm is

- ☒ a. Issuing common stock ✓
- ☐ b. Raising the dividend rate
- ☐ c. Relying on retained profits
- ☐ d. Borrowing by selling bonds

The correct answer is: Issuing common stock.

### Question 84

Correct

Mark 1.00 out of 1.00

[Flag question](#)

XYZ Company sells a single product at a selling price of Br 15.00 per unit. Last year, the company's sales revenue was Br 225,000 and its net operating income was Br 18,000. If fixed expenses totaled Br 72,000 for the year, the break-even point in unit sales was

- ☐ a. 9,900
- ☐ b. 4,100
- ☒ c. 12,000 ✓
- ☐ d. 15,000

The correct answer is: 12,000.



# Model Exit Exam 2025

## Question 85

Correct

Mark 1.00 out of 1.00

[Flag question](#)

Kale Corporation purchase bonds at a discount on the open market as an investment and intends to hold these bonds to maturity and Kale does not elect the fair value option for the bonds. Kale should account for these bonds at

- ☐ a. Cost
- ☐ b. Fair value
- ☐ c. Lower of cost or market
- ☒ d. Amortized cost ✓

The correct answer is: Amortized cost

## Question 86

Incorrect

Mark 0.00 out of 1.00

[Flag question](#)

If the company maintains liberal credit policy to collect the payments from its customers:

- ☐ a. they have to spend some amount of working capital
- ☒ b. they have to maintain optimum working capital ✗
- ☐ c. they have to maintain lower working capital
- ☐ d. they have to maintain more working capital

The correct answer is: they have to maintain more working capital



# Model Exit Exam 2025

## Question 87

Correct

Mark 1.00 out of 1.00

Flag question

The purchase of office equipment on account should result in:

- ☒ a. a debit to office equipment and a credit to accounts payable ✓
- ☐ b. a debit to accounts payable and a credit to office equipment
- ☐ c. a debit to office equipment and a credit to accounts receivable
- ☐ d. a debit to office equipment and a credit to cash

The correct answer is: a debit to office equipment and a credit to accounts payable

## Question 88

Incorrect

Mark 0.00 out of 1.00

Flag question

Under a consignment arrangement, the

- ☐ a. Consignee has ownership when the goods are in the consignee's possession
- ☐ b. Consigned goods are included in the inventory of the consignee
- ☐ c. Consigned goods are included in the inventory of the consignor
- ☒ d. Consignor has ownership until goods are shipped to the consignee ✗

The correct answer is: Consigned goods are included in the inventory of the consignor



# Model Exit Exam 2025

## Question 77

Correct

Mark 1.00 out of 1.00

Flag question

The receipt of cash from customers in payment of their accounts would be recorded by:

- ☐ a. A debit to Accounts Payable and a credit to Cash
- ☐ b. A debit to Cash and a credit to Accounts Payable
- ☐ c. A debit to Accounts Receivable and a credit to Cash
- ☒ d. A debit to Cash and a credit to Accounts Receivable ✓

The correct answer is: A debit to Cash and a credit to Accounts Receivable

## Question 78

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following sampling methods is most useful to auditors when performing tests of controls?

- ☐ a. Discovery sampling
- ☐ b. Variable sampling
- ☐ c. Unrestricted random sampling with replacement
- ☒ d. Attribute estimation ✓

The correct answer is: Attribute estimation

**Question 79**

Incorrect

Mark 0.00 out of 1.00

 Flag question

The general group of generally accepted auditing standards includes a requirement that

- ☐ a. Due professional care be exercised by the auditor
- ☒ b. The auditor's opinion state whether or not the financial statements conform to generally accepted accounting principles ✖
- ☐ c. Informative disclosures in the financial statements are reasonably adequate
- ☐ d. Field work be adequately planned and supervised

The correct answer is: Field work be adequately planned and supervised

**Question 80**

Incorrect

Mark 0.00 out of 1.00

 Flag question

Taxable temporary differences are expected to lead to the payment of

- ☐ a. more tax in the future and gives rise to a deferred tax asset
- ☒ b. less tax in the future and gives rise to a deferred tax asset ✖
- ☐ c. more tax in the future and gives rise to a deferred tax liability
- ☐ d. less tax in the future and gives rise to a deferred tax liability

The correct answer is: more tax in the future and gives rise to a deferred tax liability



# Model Exit Exam 2025

## Question 81

Correct

Mark 1.00 out of 1.00

[Flag question](#)

An entity should apply IFRS 17 to which of the following?

- ☐ a. contingent consideration receivable in business combination
- ☐ b. product warranties issued by an entity which is manufacturer
- ☒ c. reinsurance contracts issued by the entity ✓
- ☐ d. employer's asset and liabilities under employment benefit plans

The correct answer is: reinsurance contracts issued by the entity

## Question 82

Incorrect

Mark 0.00 out of 1.00

[Flag question](#)

To record the allocation of the cost of PPE, Intangible Assets and Natural resources the appropriate credit account respectively is

- ☐ a. Accumulated Depreciation, Amortization expense and Accumulated Depletion
- ☐ b. Accumulated Depreciation, Specific intangible asset and Accumulated Depletion
- ☒ c. Depreciation expense, Amortization expense and Depletion expense ✗
- ☐ d. Accumulated Depreciation, Accumulated amortization and Accumulated Depletion

The correct answer is: Accumulated Depreciation, Specific intangible asset and Accumulated Depletion



# Model Exit Exam 2025

## Question 71

Correct

Mark 1.00 out of 1.00

Flag question

The preferred technique for evaluating most capital investments is

- ☒ a. Net present value ✓
- ☐ b. Payback period
- ☐ c. Internal rate of return
- ☐ d. Discount payback period

The correct answer is: Net present value

## Question 72

Incorrect

Mark 0.00 out of 1.00

Flag question

According to "Constitution of Ethiopia" and Proclamation No.33/1992, which one of the following sources of revenue shall be categorized as Federal/Central List

- ☐ a. Tax on income from inland water transportation
- ☐ b. Taxes collected on income marine transport activities
- ☒ c. sales tax collected from Organizations ✗
- ☐ d. Profit tax collected from Organizations

The correct answer is: Taxes collected on income marine transport activities



# Model Exit Exam 2025

## Question 73

Correct

Mark 1.00 out of 1.00

Flag question

The first general standard requires that a person or persons have adequate technical training and proficiency as an auditor, this standard is met by

- ☒ a. Education and experience in auditing ✓
- ☐ b. Understanding business and finance
- ☐ c. Knowledge of Statements of Auditing Standards
- ☐ d. Continuing professional education

The correct answer is: Education and experience in auditing

## Question 74

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following is not a distinguishing Characteristics of G&NP Organization?

- ☐ a. They are owned collectively by their constituents
- ☐ b. Strive for societal welfare
- ☒ c. They attempt to earn a profit ✓
- ☐ d. Decisions usually must be ?in the sunshine?

The correct answer is: They attempt to earn a profit



# Model Exit Exam 2025

## Question 75

Correct

Mark 1.00 out of 1.00

[Flag question](#)

An impairment loss that relates to an asset that has been revalued should be recognized in

- ☒ a. Revaluation reserve that relates to the revalued asset ✓
- ☐ b. Opening retained profits
- ☐ c. Any reserve in equity
- ☐ d. Profit or loss

The correct answer is: Revaluation reserve that relates to the revalued asset

## Question 76

Correct

Mark 1.00 out of 1.00

[Flag question](#)

Which of the following statements describes variable costs?

- ☐ a. Costs that vary on a per-unit basis but remain the same in total as the level of activity changes
- ☐ b. Costs that vary on a per-unit basis as the level of activity changes
- ☒ c. Costs that vary in total in direct proportion to changes in the level of activity ✓
- ☐ d. Costs that remain the same in total dollar amount as the level of activity changes

The correct answer is: Costs that vary in total in direct proportion to changes in the level of activity



# Model Exit Exam 2025

## Question 63

Incorrect

Mark 0.00 out of 1.00

[Flag question](#)

If \$1.9672 is required to acquire one British pound, the amount of pound(s) required to acquire \$1 is:

- ☐ a. \$5.0834
- ☒ b. \$0.5083 ✖
- ☐ c. \$0.258
- ☐ d. \$3.8702

The correct answer is: \$5.0834

## Question 64

Incorrect

Mark 0.00 out of 1.00

[Flag question](#)

Which of the following statements is not correct?

- ☒ a. IAS 21 applies when an entity translates amounts relating to derivatives from its functional currency to its presentation currency ✖
- ☐ b. IAS 21 applies to hedge accounting for foreign currency items, including the hedging of a net investment in a foreign operation
- ☐ c. IAS 21 applies to the presentation of an entity's financial statements in a foreign currency and sets out requirements for the resulting financial statements to be described as complying with IFRSs

The correct answer is: IAS 21 applies to hedge accounting for foreign currency items, including the hedging of a net investment in a foreign operation



# Model Exit Exam 2025

## Question 65

Correct

Mark 1.00 out of 1.00

Flag question

Which of the following is the correct combination of fund type and base of accounting?

- ☐ a. Agency Fund- modified accrual base of accounting
- ☒ b. Capital project Fund- modified accrual base of accounting ✓
- ☐ c. General Fund- Cash base of accounting
- ☐ d. Enterprise Fund-modified accrual base of accounting

The correct answer is: Capital project Fund- modified accrual base of accounting

## Question 66

Correct

Mark 1.00 out of 1.00

Flag question

Accounts receivable turnover ratio determined by;

- ☐ a. net credit sales multiplied by average net accounts receivable
- ☐ b. accounts receivable turnover divided by days in year
- ☐ c. average collection period in days divided by accounts receivable turnover
- ☒ d. net credit sales divided by average net accounts receivable ✓

The correct answer is: net credit sales divided by average net accounts receivable



# Model Exit Exam 2025

## Question 67

Correct

Mark 1.00 out of 1.00

[Flag question](#)

The accounts payable department receives the purchase order form to accomplish all of the following except

- ☒ a. Ensure that the party requesting the goods had received the goods ✓
- ☐ b. Ensure that the purchase had been properly authorized
- ☐ c. Compare quantity ordered to quantity purchased
- ☐ d. Compare invoice price to purchase order price

The correct answer is: Ensure that the party requesting the goods had received the goods

## Question 68

Correct

Mark 1.00 out of 1.00

[Flag question](#)

Which of general standards is a means that auditors are professionals responsible for fulfilling their duties diligently and carefully.

- ☐ a. Adequate Technical Training and Proficiency
- ☐ b. Independence in Mental Attitude
- ☒ c. Due Professional Care ✓
- ☐ d. Adequate Planning and Supervision

The correct answer is: Due Professional Care



# Model Exit Exam 2025

## Question 69

Incorrect

Mark 0.00 out of 1.00

[Flag question](#)

When a company fully depletes the credit balance in Share Premium, any additional excess of cost over selling price would be:

- ☒ a. Debit to Retained Earning ✗
- ☐ b. Debits to Share premium
- ☐ c. Credits to Share premium

## Question 70

Incorrect

Mark 0.00 out of 1.00

[Flag question](#)

Which of the following is false statement?

- ☐ a. Activity ratios are also known as assets management or turnover ratios
- ☐ b. High turnover ratios usually associated with good assets management and lower turnover ratios with poor assets management
- ☐ c. Overall liquidity ratios generally do give an adequate picture of company's real liquidity
- ☒ d. Turnover ratios measure the degree to which assets are efficiently employed in the firm ✗

The correct answer is: Overall liquidity ratios generally do give an adequate picture of company's real liquidity



# Model Exit Exam 2025

## Question 57

Correct

Mark 1.00 out of 1.00

[Flag question](#)

The formal process of choosing between alternatives is known as

- ☐ a. A prediction model
- ☐ b. An alternative model
- ☒ c. A decision model ✓
- ☐ d. A relevant model

The correct answer is: A decision model

## Question 58

Correct

Mark 1.00 out of 1.00

[Flag question](#)

One of the primary components of internal control system that capture and communicate all pertinent information both down and up the organization, as well as communicate information to appropriate external parties is;

- ☒ a. information and communication ✓
- ☐ b. monitoring
- ☐ c. risk assessment
- ☐ d. control activities

The correct answer is: information and communication



# Model Exit Exam 2025

## Question 59

Correct

Mark 1.00 out of 1.00

Flag question

One is not the reason of A corporation acquire treasury shares

- ☐ a. To reissue the shares to officers and employees under bonus and share compensation plans
- ☐ b. To reduce the number of shares outstanding and thereby increase earnings per share
- ☒ c. To increase the original Share Capital ✓
- ☐ d. To have additional shares available for use in the acquisition of other companies

The correct answer is: To increase the original Share Capital

## Question 60

Correct

Mark 1.00 out of 1.00

Flag question

A typical example of a liability of uncertain timing or amount is?

- ☐ a. Accrued salaries and wages
- ☐ b. Unsecured promissory note
- ☐ c. Purchase of products on credit
- ☒ d. Obligations related to litigation ✓

The correct answer is: Obligations related to litigation



# Model Exit Exam 2025

## Question 61

Correct

Mark 1.00 out of 1.00

Flag question

Under the lower-of-cost-or-market method, the replacement cost of an inventory item would be used as the designated market value

- ☐ a. regardless of net realizable value
- ☐ b. When it is above the net realizable value.
- ☐ c. When it is below the net realizable value less the normal profit margin.
- ☒ d. When it is below the net realizable value and above the net realizable value less the normal profit margin. ✓

The correct answer is: When it is below the net realizable value and above the net realizable value less the normal profit margin.

## Question 62

Incorrect

Mark 0.00 out of 1.00

Flag question

If plant asset is retired before it is fully depreciated, and no salvage value or residual value is received.

- ☒ a. Neither gain nor loss on disposal will be recorded ✗
- ☐ b. Loss on disposal will be recorded
- ☐ c. Gain on disposal will be recorded

The correct answer is: Loss on disposal will be recorded